Notes: Carter & Manaster (JF, 1990)
Initial Public Offerings and Underwriter Reputation

Contents

1 Big picture

- **Question.** Why do some IPOs exhibit larger first aftermarket price run-ups than others, and what role does underwriter reputation play in revealing issuer risk?
- **Core mechanism.** The paper extends Rock's winner's-curse logic: uninformed investors require compensation when informed investors participate. High-dispersion IPOs attract more information acquisition, so their offer prices must be lower relative to aftermarket value.
- **Signal.** Underwriter reputation is interpreted as a market signal about the dispersion of possible firm values. Prestigious underwriters are associated with low-dispersion IPOs.
- **Empirical innovation.** The paper constructs a 0-to-9 reputation ranking from underwriters' relative positions in tombstone announcements.
- **Main findings.** Higher underwriter reputation predicts lower dispersion of IPO returns and lower two-week IPO price run-up.

2 Incremental contribution of the paper

- It extends Rock (1986) from a static winner's-curse model to cross-sectional IPO underpricing by linking informed-capital participation to IPO value dispersion.
- It introduces the Carter-Manaster underwriter reputation ranking, a continuous 0-to-9 ranking created from tombstone announcement placement.
- It connects issuer-underwriter matching to IPO pricing: low-dispersion issuers choose prestigious underwriters to certify lower risk and reduce underpricing.
- It provides two direct tests: reputation should predict lower return dispersion and lower mean IPO run-up.
- It creates a benchmark variable that later IPO studies use to control for underwriter quality and certification.

3 Model objects and measurement

The model has a three-period IPO process. At time 0, issuers contract with underwriters; at time 1, the underwriter sells the IPO; at time 2, shares trade in a secondary market with full information.

Let V be the aftermarket value, P the offer price, and σ the dispersion of possible values. Investors can pay cost C_i to learn V before buying.

$$\gamma_i \int_P^\infty (V-P)f(V \mid \sigma)dV - C_i > 0.$$

Detailed interpretation. This is the information-acquisition condition. Higher dispersion raises the option value of becoming informed.

Informed capital is

$$K_I = \sum_i (W_i - C_i)\delta_i, \qquad \alpha = \frac{K_I}{K_I + K_U}.$$

Detailed interpretation. Higher α worsens the winner's curse for uninformed investors.

The zero-profit condition for uninformed investors is

$$\int_{-\infty}^P (V-P)f(V \mid \sigma)dV + (1-\alpha)\int_P^\infty (V-P)f(V \mid \sigma)dV = 0.$$

Detailed interpretation. When informed investors get more of the good allocations, the offer price must fall.

4 Empirical specifications and identification

The paper estimates underwriter-level and IPO-level regressions:

$$SD(Returns)_j = \beta_0 + \beta_1 Reputation_j + \beta_2 Insiders_j + \beta_3 LogOfferSize_j + \beta_4 Age_j + u_j,$$

$$MAR_i = \alpha_0 + \alpha_1 Reputation_i + \alpha_2 Insiders_i + \alpha_3 LogOfferSize_i + \alpha_4 Age_i + \varepsilon_i.$$

Detailed interpretation. The first regression tests whether reputation predicts lower return dispersion; the second tests whether reputation predicts lower underpricing. The theory predicts negative coefficients on reputation.

5 Tables, exhibit, and appendix rankings

5.1 Exhibit I: A Tombstone Announcement

Read: Exhibit I shows the raw institutional object used to construct the reputation ranking. Lead underwriters appear at the top, and syndicate participants are grouped by hierarchy.

Detailed interpretation. The paper turns tombstone placement into a numerical underwriter reputation measure.

Economic message. Market hierarchy becomes measurable data.

5.2 Table I: Regressions of the Standard Deviations of IPO Returns on Selected Explanatory Variables

Read: The univariate reputation coefficient is -0.025 with $t = -3.09$, significant at the 1% level. Reputation has higher adjusted R^2 than the other univariate predictors.

Detailed interpretation. Table I tests the risk-dispersion prediction. Prestigious underwriters are associated with lower return variance.

Economic message. Underwriter reputation certifies lower uncertainty.

5.3 Table II: Summary Statistics for the Returns of 501 IPOs

Read: Mean market-adjusted return is 0.1618. For reputation 0 to less than 2, mean market-adjusted return is 0.233; for reputation 8 through 9, it is 0.060.

Detailed interpretation. IPOs handled by high-reputation underwriters have much lower average run-up and lower dispersion.

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Exhibit I. A tombstone announcement. This is a reproduction of an announcement that appeared in *The Wall Street Journal* on February 3, 1983. Syndicate underwriters are displayed in

Exhibit I: A tombstone announcement

Table I

Regressions of the Standard Deviations of IPO Returns on Selected Explanatory Variables[a]

The 25 observations for the dependent variable are the standard deviations of the raw returns across the initial public offerings (IPOs) of each of the most active, lead underwriters. Raw returns are the relative differences between the offering prices and the closing bid prices two weeks thereafter. The sample consists of 501 IPOs issued between January 1, 1979 and August 17, 1983. Reputation is a discrete rank assigned to each investment banker according to his or her relative placement in tombstone announcements. The ranks range from zero to nine, where nine is a more prestigious underwriter. The other independent variables are the means of the observations for the IPOs of each of the 25 underwriters. Insiders is the fraction of total shares offered represented by private stockholders' shares. Offer size is the gross proceeds (in billions of dollars) for the issue. Age is the number of years since firm inception.

	Coefficients							
(1) No.	(2) Intercept	(3) Reputation	(4) Insiders	(5) Log Offer Size	(6) Age	(7) Ad R^2	(8) F	(9) N
1.	0.455	−0.025				0.262	9.53***	25
		(−3.09)***						
2.	0.376		−0.339			0.175	6.10**	25
			(−2.47)**					
3.	−0.045			−0.077		0.245	8.79***	25
				(−3.39)***				
4.	0.399				−0.009	0.194	6.77**	25
					(−2.60)**			
5.	0.152	−0.004	0.028	−0.051	−0.006	0.226	2.75*	25
		(−0.15)	(0.13)	(−0.80)	(−1.23)			

[a] The t-statistics are in parentheses. Significance at a 10%, 5%, and 1% level is indicated by one, two, and three asterisks, respectively.

Table I: Standard deviation regressions

Table II

Summary Statistics for the Returns of 501 IPOs

Panel A provides statistics for raw returns (the relative differences between offering prices and closing bid prices two weeks thereafter) and market adjusted returns (raw returns less the contemporaneous, equally weighted market returns) for a sample of initial public offerings (IPOs). The IPOs were issued between January 1, 1979 and August 17, 1983. Panel B provides the number, mean, and standard deviation (SD) of returns for ranges of reputation for the IPOs' lead underwriters. Reputation is the discrete rank assigned to investment bankers according to their relative placement in tombstone announcements. The ranks range from zero to nine, where nine is a more prestigious underwriter.

Panel A: Raw Returns and Market Adjusted Returns

	Raw Returns	Market Adjusted Returns
Median	0.0760	0.0634
Mean	0.1679	0.1618
Standard Deviation	0.3537	0.3600
Minimum Value	−0.6079	−0.6874
Maximum Value	3.870	3.872
Returns < Zero	156	175
Returns ≥ Zero	345	326

Panel B: Reputation Levels and Raw Returns (RR) and Market Adjusted Returns (MAR)

Reputation Level	RR Mean	RR SD	MAR Mean	MAR SD	N
0 to <2	0.242	0.479	0.233	0.483	24
2 to <4	0.196	0.331	0.188	0.329	81
4 to <6	0.196	0.386	0.193	0.388	134
6 to <8	0.183	0.387	0.183	0.386	152
8 through 9	0.068	0.224	0.060	0.225	110

Table II: Summary statistics for the returns of 501 IPOs

Table III

Regressions of Market Adjusted Returns on Selected Explanatory Variables[a]

Market adjusted returns are the raw returns (the relative differences between the offering prices and the closing bid prices two weeks thereafter) less the contemporaneous, equally weighted market returns. The sample consists of 501 initial public offerings issued between January 1, 1979 and August 17, 1983. Reputation is the average of the assigned ranks for the issue's lead underwriters. The reputation variable is developed by assigning discrete ranks to investment bankers according to their relative placement in tombstone announcements. The variable ranges from zero to nine, where nine is a more prestigious underwriter. Insiders is the fraction of total shares offered represented by private stockholders' shares. Log offer size is the natural logarithm of gross proceeds (in billions of dollars) for the issue. Age is the number of years since firm inception.

	Coefficients							
(1) No.	(2) Intercept	(3) Reputation	(4) Insiders	(5) Log Offer Size	(6) Age	(7) Ad R^2	(8) F	(9) N
1.	0.271	−0.019				0.012	6.86***	501
		(−2.62)***						
2.	0.191		−0.134			0.008	5.10**	501
			(−2.26)**					
3.	0.095			−0.015		0.000	0.72	501
				(−0.85)				
4.	0.187				−0.002	0.001	3.80**	501
					(−1.95)**			
5.	0.420	−0.020	−0.080	0.025	−0.002	0.015	2.85**	501
		(−2.05)**	(−1.21)	(1.12)	(−1.20)			

[a] The t-statistics are in parentheses. Significance at the ten and five percent levels is indicated by two and three asterisks, respectively.

Table III: Market-adjusted return regressions

Economic message. Reputation reduces the amount of underpricing required to attract uninformed capital.

5.4 Table III: Regressions of Market Adjusted Returns on Selected Explanatory Variables

Read: The reputation coefficient is negative and significant in both univariate and multivariate regressions.

Detailed interpretation. Table III is the main price-run-up test using all 501 IPOs.

Economic message. Low-reputation IPOs leave more money on the table because uninformed investors face a stronger winner's curse.

5.5 Appendix II: Assigned Rankings of 117 Underwriters

Read: Appendix II lists 117 underwriters and their Carter-Manaster ranks from 0 to 9.

Detailed interpretation. The appendix is one of the paper's lasting outputs because it supplies a reusable empirical reputation variable.

Economic message. A qualitative investment-banking hierarchy becomes a quantitative research variable.

Appendix II

Assigned Rankings of 117 Underwriters

Underwriter's Name[a]	Assigned Rank[b]
First Boston Corp.	9.0
Goldman, Sachs and Co.	9.0
Merrill Lynch White Weld	9.0
Morgan Stanley and Co.	9.0
Salomon Brothers, Inc.	9.0
Bache Halsey Stuart and Shields, Inc.	8.0
Bear, Stearns and Co.	8.0
Blyth Eastman Dillon and Co.	8.0
E. F. Hutton and Co., Inc.	8.0
Kidder Peabody and Co., Inc.	8.0

(a) Appendix II, start

Appendix II—*Continued*

Underwriter's Name[a]	Assigned Rank[b]
E. J. Pittock and Co., Inc.	1.0
J. E. Sheehan	1.0
Akroyd and Smithers, Inc.	0.5
Donald and Co. Securities	0.5
Equity Securities Trading Co., Inc.	0.0
First Colorado Investments and Securities Corp.	0.0
Furman Selz Mager Dietz and Birney	0.0
Powell and Associates, Inc.	0.0
Quinn and Co.	0.0
Wall Street West, Inc.	0.0

[a] The underwriters listed are the 117 firms marketing 501 initial public offerings of equity (IPOs) between January 1, 1979 and August 17, 1983.

[b] The rank is assigned by comparing the underwriters' position in tombstone announcements from *Investment Dealer's Digest* and *The Wall Street Journal* during the same period that the 501 IPOs were drawn. A rank of 9.0 represents the most prestigious underwriters in the sample.

(b) Appendix II, end

6 Detailed result map

- **Result 1.** Higher dispersion raises the incentive to become informed.
- **Result 2.** Higher informed participation lowers the equilibrium offer price.
- **Result 3.** Underwriter reputation signals low dispersion.
- **Result 4.** Reputation predicts lower return volatility.
- **Result 5.** Reputation predicts lower underpricing.

7 Conclusion

7.1 Core conclusion

Carter and Manaster show that underwriter reputation is systematically related to IPO risk and underpricing. Prestigious underwriters certify lower-dispersion IPOs, reducing informed-investor participation and the price run-up required to compensate uninformed investors.

7.2 Economic intuition

Informed investors buy only when the issue is favorable. This creates a winner's curse for uninformed investors. A prestigious underwriter reduces the perceived probability of a high-dispersion issue, so uninformed investors require less underpricing.

7.3 Incremental contribution

The paper bridges theory and measurement. It introduces the Carter-Manaster reputation rank, which became a standard IPO research variable, and ties underwriter hierarchy to the economic mechanism of information production and underpricing.

7.4 Limitations

Underwriter choice is endogenous, the sample is historical, and the design is not causal in the modern sense. However, the paper provides internally consistent evidence for two model predictions.

7.5 Final takeaway

Underwriter reputation is not just prestige; it is reputational capital that conveys information about issuer uncertainty and changes the equilibrium price at which IPOs can be sold.